Reforming the UK Triple Lock: The State Pension under Forecast Uncertainty*

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Abstract

The UK State Pension triple lock raises the pension each year by the highest of CPI inflation, earnings growth and 2.5%, and keeps every gain. We estimate what the Burnham plan, which from 2030 keeps the protection against prices and the floor but tracks earnings over time, would save against the triple lock (current law), and who would be affected. We run both rules through PolicyEngine UK on 50,000 simulated paths of prices and earnings centred on the OBR's forecast. The expected saving in 2039-40 is £11.1bn in State Pension spending and £7.9bn after tax and benefits respond, against £0.9bn on the OBR's central forecast alone; the middle 80% of paths runs from £3.9bn to £18.9bn. About 27% of households, nearly all with a pensioner, have less income. The results are provisional until the binding test on the Budget forecast.

Keywords: pension indexation, triple lock, microsimulation, forecast uncertainty, stochastic simulation, public finances
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1 Introduction

Since 2011 the triple lock has raised the State Pension each April by the highest of CPI inflation, earnings growth and 2.5%. Because it takes the highest of three figures every year, a year in which prices or the floor run ahead of earnings raises the pension for good, and later rises build on the higher level. The OBR's long-term projections assume that the triple lock raises the pension 0.6 percentage points a year faster than earnings (Office for Budget Responsibility, 2026d).

On 29 September 2026 the Prime Minister said he would keep the triple lock until 2030 and then change it, so that the pension rises every year by at least prices or 2.5% and "will hold its value relative to earnings over time" (BBC News, 2026). DWP's analysis published the same day says that from April 2030 the pension keeps the record value relative to earnings it reaches under the triple lock: "In any given year it will go up by at least inflation or 2.5% – and anything more that is needed to retain that value" (Department for Work and Pensions, 2026b). We call this rule the Burnham plan.

This paper asks what the Burnham plan would save against the triple lock (current law), and who would be affected. Its answer has three parts. First, the saving depends on how prices and earnings move from year to year, not just on their average, so we estimate it over many possible paths rather than one. Second, on those paths the plan saves £11.1bn in State Pension spending in 2039-40 on average, and £7.9bn after tax and benefits respond. Third, the cost to households falls almost entirely on pensioners, with Pension Credit and income tax making up part of it.

Section 2 sets out the two rules and how the saving arises. Section 3 gives the saving, with single scenarios and other published costings. Section 4 follows both rules along the OBR's forecast and simulated paths. Section 5 turns to households. Section 6 describes the method, Section 7 its limitations, and Section 8 concludes.

2 The triple lock and the Burnham plan

2.1 The two rules

Under the triple lock the full basic and new State Pension rise each April by the highest of three figures: the CPI 12-month rate for the previous September (Office for National Statistics, 2026c); growth in average weekly earnings, whole-economy total pay, in May to July of the previous year (Office for National Statistics, 2026b); and 2.5%. The law requires only that the pension keeps up with earnings (Social Security Administration Act, 1992); the prices leg and the floor are policy on top. ONS publishes both inputs to 0.1 point, and both rules here use them at that precision.

The Burnham plan follows the triple lock to April 2029. From April 2030 let L_t be the pension's level and A_t an earnings path that starts at the 2029-30 level and grows with May–July earnings, $A_t = A_{t-1}(1 + e_{t-1})$. Then

$$L_t = \max\big(L_{t-1}\,(1 + \max(c_{t-1}, f)),\ A_t\big),$$

where c is September CPI, e is May–July earnings growth and f is the 2.5% floor. The pension never rises by less than the higher of CPI and the floor, and never falls below its earnings path. Any top-up to the earnings path is rounded up to 0.1 point.

2.2 Where the saving comes from

When earnings lead, both rules give the same rise. The rules part only after a year in which the higher of CPI and 2.5% beats earnings. Both pay that higher figure, but it lifts the plan above its earnings path. When earnings lead again, the triple lock rises with earnings from the higher level, while the plan rises only by the higher of CPI and the floor until earnings catch up. The triple lock carries each such year forward for good; the plan does not. So the saving depends on how often the lead passes between prices and earnings, and every such year can only add to it.

2.3 The triple lock since 2011

Figure 1 replays the triple lock on the published inputs for each April from 2011 to 2026. CPI set the rise six times, earnings six times and the floor four times. Over those rises the pension rose by 88% in all, against 66% for earnings alone and 60% for prices alone, which leaves it 12.7% above where an earnings link alone would have taken it. In April 2022 the law suspended the earnings leg, whose input was 8.4%, so that year's rise was CPI, 3.1% (Social Security (Up-rating of Benefits) Act, 2021). April 2011's rise was set by that year's up-rating order (Social Security Benefits Up-rating Order, 2011).

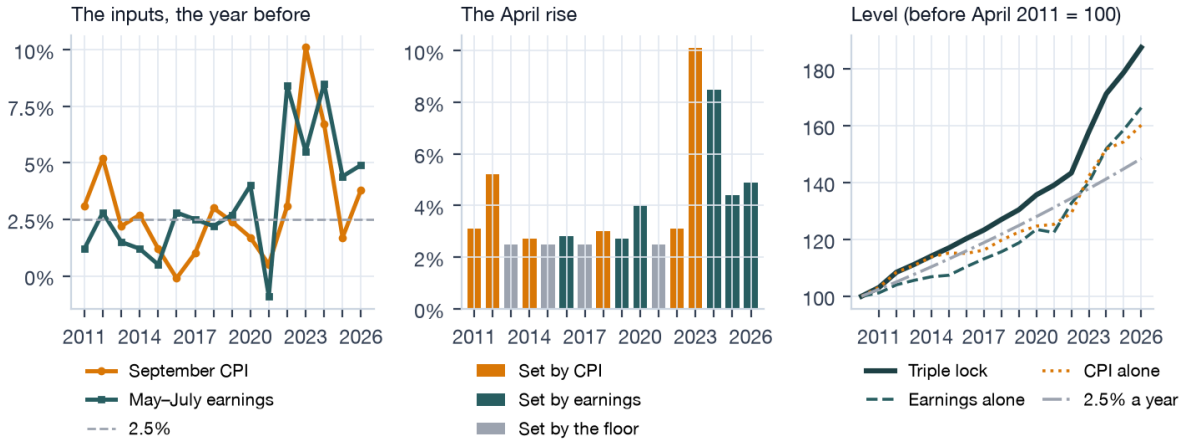


Figure 1: The triple lock, April 2011 to April 2026, on the latest ONS figures. Left: September CPI and May–July earnings growth in the year before each April, and the floor. Centre: the rise, coloured by the figure that set it. Right: the level under the triple lock against earnings alone, CPI alone and the floor alone.

2.4 If the plan had started earlier

The same comparison can be run backwards. Had the Burnham plan started in April 2012, 2013, 2014 or 2015, the full new State Pension in 2026-27 would be £11,758 a year instead of the £12,548 paid, 6.3% lower (Figure 2). Most of the difference follows April 2023, when September CPI of 10.1% set a rise far above earnings growth of 5.5%. Started in April 2024, 2025 or 2026, the plan would have paid the same as the triple lock every year. In full model runs, State Pension spending in 2026-27 would have been £7.25bn lower, and the government £5.24bn better off once tax and benefits respond.

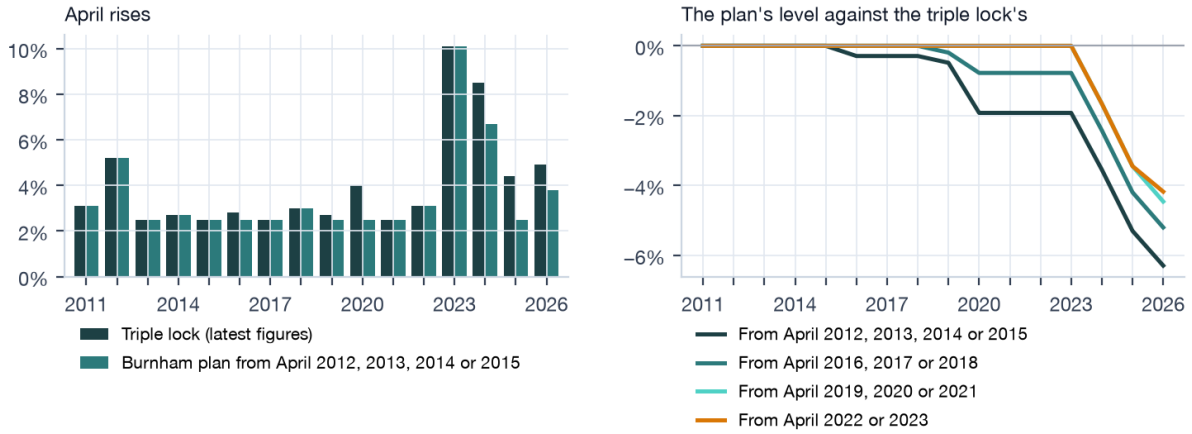


Figure 2: The Burnham plan's rule applied from earlier Aprils to the published inputs. Left: the April rises under the triple lock and under the plan from the earliest start that changes anything. Right: the plan's level against the triple lock's, by start year.

3 What the plan would save

3.1 The expected saving

Figure 3 shows the saving each year across the model's paths, and Table 1 the average with its Monte Carlo standard error. In 2039-40 the expected saving is £11.1bn (SE £0.1bn) in State Pension spending and £7.9bn (SE £0.0bn) once income tax and benefits respond. Of the gross saving, extra Pension Credit takes back £0.61bn, lower income tax £2.46bn and extra Housing Benefit £0.15bn. In 2034-35 the expected saving is £3.2bn gross and £2.3bn net.

The paths spread widely. In 2039-40 the middle 80% of them save between £3.9bn and £18.9bn gross, and between £2.7bn and £13.4bn net. That spread lies within one model of prices and earnings: it describes the model's paths, not the odds of an outcome. The standard error is much smaller, because it measures only how precisely the full runs pin down the average. By 2039-40 the full new State Pension is £931 a year lower under the plan on average, and between £329 and £1,583 on the middle 80% of paths.

3.2 Why the OBR's central forecast saves little

The OBR's central forecast is one smooth path. On it earnings beat CPI and the floor in almost every year after the switch, so the two rules give nearly the same rise and the plan saves £0.9bn in 2039-40 (£0.6bn net). Real years are bumpier. Whenever inflation spikes or earnings growth dips, the triple lock carries the higher rise forward and the plan does not, and since the saving can never be negative, every such year adds to it. That is why the average over many paths is far above the saving on the average path, and why we cost the plan over a distribution of paths (Section 4).

3.3 Single scenarios

Figure 4 and Table 2 show four scenarios, each run in full under both rules. Two are single runs with no Monte Carlo error: the OBR central forecast, and the OBR's long-term path, on which

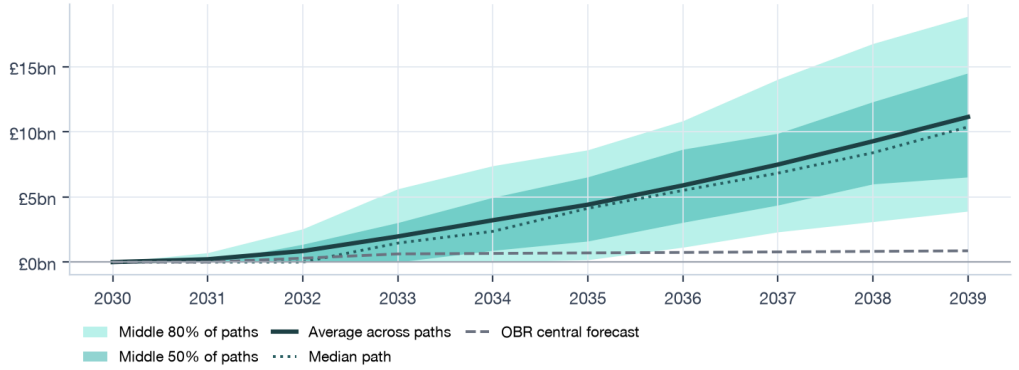


Figure 3: The saving from the Burnham plan against the triple lock (current law) by fiscal year: the average across the model's paths, the median path, the middle 50% and 80% of paths, and the OBR central forecast. Gross, in State Pension spending. Weighted full model runs on the Enhanced FRS.

Table 1: The expected saving by fiscal year, £ billion, with Monte Carlo standard errors (SE), the share of households with less income than under the triple lock, and the gross saving on the OBR central forecast.

Year	Gross	SE	Net	SE	Households with less income	OBR central, gross
2030-31	0.00	0.00	0.00	0.00	0.0%	0.00
2031-32	0.22	0.06	0.16	0.04	3.9%	0.00
2032-33	0.85	0.12	0.61	0.09	12.3%	0.30
2033-34	1.97	0.19	1.41	0.14	19.0%	0.63
2034-35	3.21	0.22	2.30	0.16	22.3%	0.66
2035-36	4.41	0.24	3.16	0.17	23.8%	0.70
2036-37	5.89	0.26	4.20	0.18	25.0%	0.74
2037-38	7.48	0.23	5.33	0.16	26.4%	0.78
2038-39	9.27	0.19	6.57	0.13	26.7%	0.82
2039-40	11.14	0.07	7.86	0.05	27.0%	0.86

the triple lock rises 0.6 points a year faster than earnings. The other two take the simulated paths behind the expected saving and move calendar-year earnings growth 0.5 points a year lower or higher from 2031. Against the same paths without the shift, lower earnings growth changes the 2039-40 saving by −£0.7bn and higher by −£0.1bn, which is within its Monte Carlo error. The scenarios are named cases, not a range for the saving.

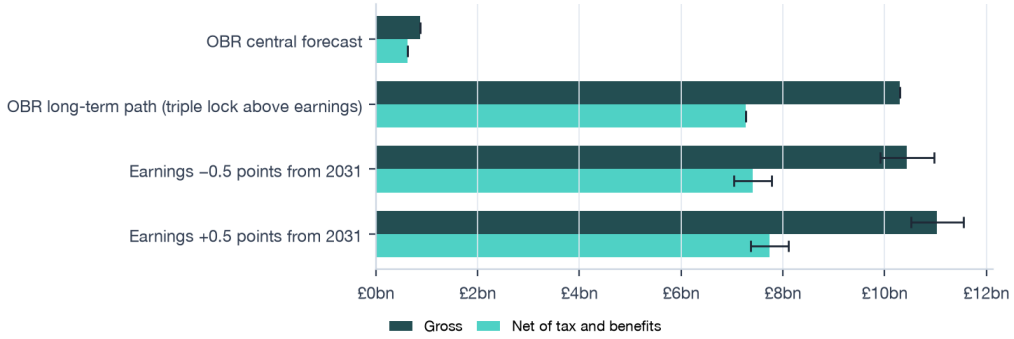


Figure 4: The saving in the final year under single scenarios, gross and net of tax and benefits. Whiskers: 95% Monte Carlo error on the path averages; the single runs have none.

Table 2: Single scenarios: the saving from the Burnham plan against the triple lock, £ billion. Single runs have no Monte Carlo error; path averages show ±1.96 standard errors.

Scenario	Run	2034-35 gross	2034-35 net	2039-40 gross	2039-40 net
OBR central forecast	single run	0.7	0.5	0.9	0.6
OBR long-term path (triple lock above earnings)	single run	3.2	2.3	10.3	7.3
Earnings −0.5 points from 2031	path average	2.8 ± 0.5	2.0 ± 0.3	10.4 ± 0.5	7.4 ± 0.4
Earnings +0.5 points from 2031	path average	3.5 ± 0.4	2.5 ± 0.3	11.0 ± 0.5	7.7 ± 0.4

3.4 Weighting the paths to past volatility

The paths match the OBR's average forecast but keep the model's own year-to-year variation. They could instead be reweighted so that the variation of the gap between earnings and CPI, and how often the lead changes, match a past period (Robertson et al., 2005). Reweighting the same full runs in this way gives an expected gross saving in 2039-40 of £8.3bn to £12.4bn (Table 8 in the appendix), against £11.1bn for the paths as they are. We keep these as sensitivities: on past OBR forecasts the reweighted paths were further from what happened (Section 6.5).

3.5 Other costings

DWP costs the plan at £15bn in 2039-40 in cash terms (£11bn in 2025-26 prices) (Department for Work and Pensions, 2026b), against our £11.1bn. The figures differ for four reasons. DWP applies one uprating path, which it does not state; ours is an average over paths, and our high-saving path saves £18.5bn. DWP's model projects the population and each person's contribution

record; we reweight today's survey (Section 6.4). The survey's State Pension spending is 15% below DWP's matched figure (Table 9), and the gross saving scales with it. And DWP's figure is direct spending for Great Britain, which compares with our gross figure for Great Britain.

On our paths the triple lock rises 0.55 points a year faster than May–July earnings over the April rises of 2034 to 2039, close to the OBR's assumption of 0.6 points over its own earnings measure (Office for Budget Responsibility, 2026d). Other published figures compare the triple lock with earnings uprating rather than with this plan, so they are context, not checks (Table 3). The OBR estimated that the triple lock would cost £15.5 billion a year by 2029-30 against earnings uprating since 2012 (Office for Budget Responsibility, 2025), and it projects State Pension spending to rise as a share of GDP over the long term, partly because of the triple lock (Office for Budget Responsibility, 2026b). The Resolution Foundation puts the net saving from earnings uprating at about £9bn this year (Curtice and Clegg, 2026). The Institute for Fiscal Studies simulated the triple lock's cost from past inflation and earnings (Cribb et al., 2023), the closest precedent for our approach.

Table 3: Other published figures beside our closest figure. 'Like for like' says whether the two measure the same thing.

Source	Their figure	Our closest figure	Like for like
Department for Work and Pensions (2026)	£15bn saving in 2039-40; Burnham plan vs triple lock, Great Britain, one path	£11.1bn	Partly
Office for Budget Responsibility (2026)	Triple lock rises 0.6 points a year faster than earnings (long-term assumption)	0.55 points a year	Partly
Office for Budget Responsibility (2025)	Triple lock vs earnings uprating since 2012: £15.5 billion a year by 2029-30	£7.3bn	No
Resolution Foundation (2026)	Earnings-linked uprating since 2012: £12.6bn gross, about £9bn net, this year	£5.2bn	No
Office for Budget Responsibility (2026)	Triple lock vs earnings uprating over a 50-year projection, % of GDP	£11.1bn	No

4 One path in detail

4.1 The OBR central forecast

The central path uses the OBR's March 2026 Economic and fiscal outlook for calendar-year CPI and earnings growth in 2027–2030 (Office for Budget Responsibility, 2026a) and its long-term economic determinants after that (Office for Budget Responsibility, 2026d), which the OBR describes as a projection, not a forecast. April 2027's rise uses the published May–July 2026 earnings growth, 3.9%, and August 2026 CPI, 3.1%, in place of September's, which ONS publishes on 21 October 2026.

Earnings grow by less than 2.5% for several years, so the floor sets the triple lock in April 2028, 2029, 2030 and 2031; from April 2032 earnings lead every year (Figure 5). The two rules

differ in two years, April 2032 and 2033: after the floor years the plan rises only by the floor, or by what brings it back to its earnings path, while the triple lock rises with earnings from the higher level. By 2039-40 the full new State Pension is £18,712 a year under the triple lock and £18,639 under the plan, and the plan saves £0.9bn (£0.6bn net).

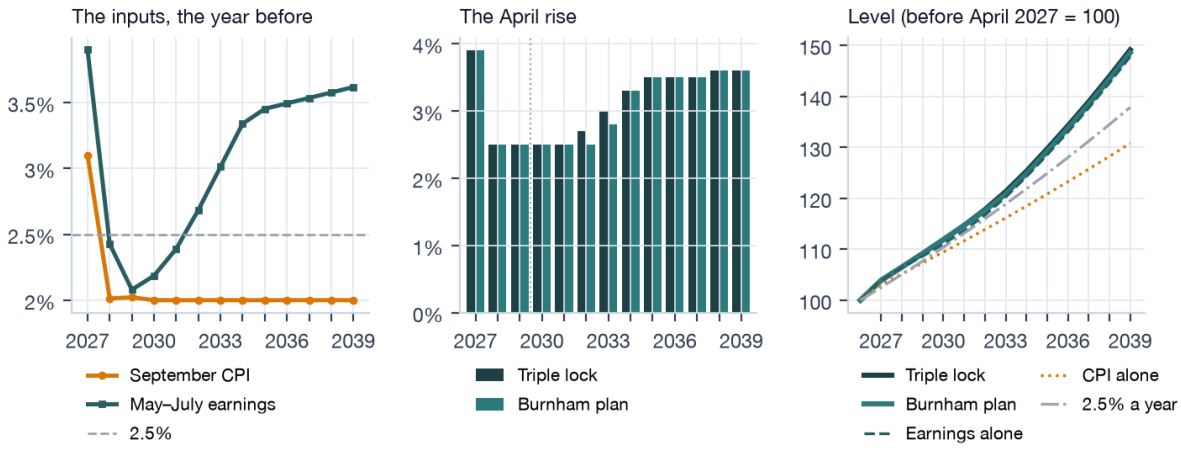


Figure 5: The two rules on the OBR central forecast. Left: the inputs behind each April's rise. Centre: the April rise under each rule; the dotted line marks the switch. Right: the level of the full new State Pension under each rule, and under earnings alone, CPI alone or the floor alone.

4.2 Simulated paths

The simulated paths come from a monthly model of prices and earnings, shifted so that their average matches the OBR's forecast (Section 6). Figure 6 shows how far apart the two rules end on four paths, and Table 4 what each saves. The typical path, nearest the middle of the distribution, saves £10.3bn in 2039-40 (£7.4bn net), close to the average; the high-saving path, at the 90th percentile, saves £18.5bn. Each is one path the model makes, not a forecast.

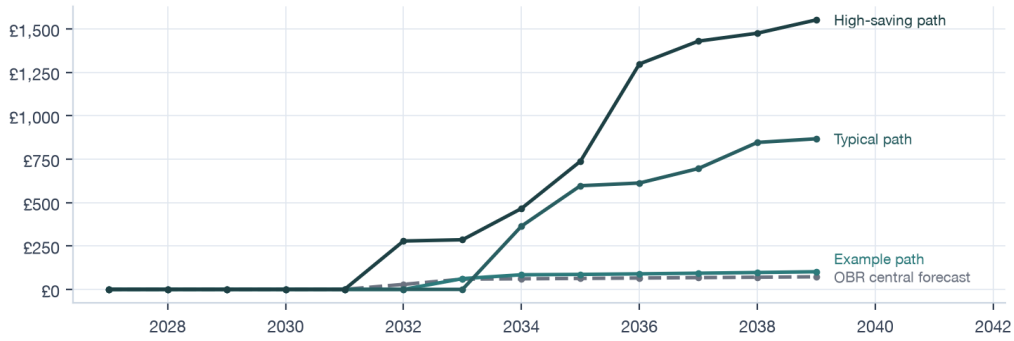


Figure 6: How far the Burnham plan's full new State Pension ends below the triple lock's on each path shown, £ a year. The OBR central forecast and the example path lie close together near zero.

Table 4: The paths shown, in the final year: the full new State Pension a year under each rule, the saving (full model runs on the Enhanced FRS, £ billion) and the share of households with less income than under the triple lock.

Path	Triple lock, £ a year	Burnham plan, £ a year	Gross	Net	Households with less income
OBR central forecast	£18,712	£18,639	0.86	0.62	27.0%
Example path (random)	£21,403	£21,301	1.21	0.86	27.0%
Typical path (median saving)	£18,779	£17,912	10.31	7.42	27.1%
High-saving path (90th percentile)	£20,403	£18,852	18.46	12.88	27.1%

5 Households

The household results run the typical path through PolicyEngine UK for the whole survey population, once under each rule. Every pensioner's State Pension is recalculated, and with it their income tax, Pension Credit, Housing Benefit, council tax reduction and Winter Fuel Payment.

5.1 From gross to net

Table 5 follows the gross saving on the typical path to the net saving. In 2039-40 extra Pension Credit takes back £0.61bn of the £10.31bn gross saving and lower income tax £2.13bn, leaving £7.42bn net, 72% of the gross.

Table 5: From gross to net on the typical path in the final year, £ billion. Each offset is signed so the column adds up to the net saving.

	2039-40
Saving on the basic and new State Pension (gross)	10.31
Extra Pension Credit	−0.61
Extra Housing Benefit	−0.11
Extra council tax reduction	−0.02
Extra Universal Credit	0.00
Extra Winter Fuel Payment	−0.01
Less income tax	−2.13
Everything else (other taxes and benefits)	−0.01
Saving to the government (net)	**7.42**

5.2 Who has less income

Averaged over all paths, 27% of UK households have less income than under the triple lock in 2039-40, and the share is about the same on every path: it is set by who receives a State Pension, not by the size of the gap. On the typical path those households have £822 a year less on average. Relative to income, the change is largest in the 2nd income decile, at 0.77% of income (Figure 7).

On the OBR central forecast, where the pension gap is small, no poverty measure changes by more than 0.04 percentage points. On the typical path pensioner poverty after housing costs is 0.6 points higher on the absolute measure and 0.8 points higher on the relative one, while poverty among everyone changes by 0.1 points or less (Table 6). Pension Credit makes up much of a lower pension for pensioners on the guarantee, but not for those just above it.

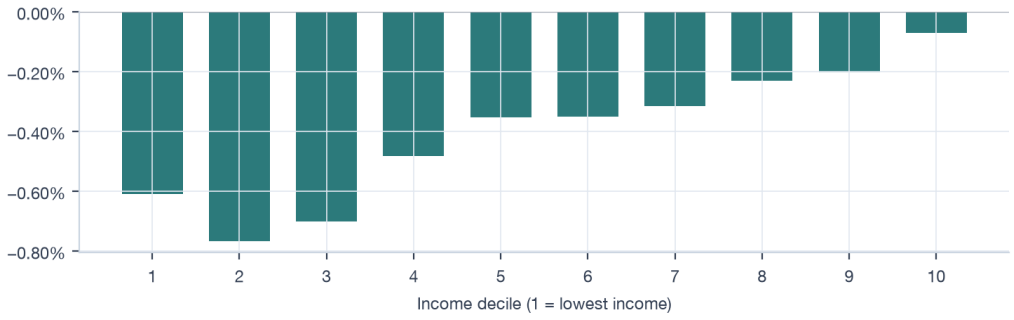


Figure 7: The change in household income under the Burnham plan against the triple lock, by income decile, on the typical path in the final year, % of income.

Table 6: Poverty after housing costs on the typical path in the final year: share of people in households below the line.

Measure	Triple lock (current law)	Burnham plan	Change, points
Pensioners, absolute	9.7%	10.4%	0.6
Pensioners, relative	13.0%	13.8%	0.8
Everyone, absolute	18.2%	18.3%	0.1
Everyone, relative	21.2%	21.2%	0.0

5.3 Example pensioners

Four example pensioners, run as households under each rule on the typical path, show how tax and benefits pass on a lower State Pension (Table 7, Figure 8). Each receives the full flat-rate State Pension and claims everything it is entitled to. They are hypothetical households, not survey records. A lower State Pension means less income tax for a pensioner above the personal allowance and more Pension Credit for one entitled to it; Pension Credit counts income after tax (State Pension Credit Regulations, 2002), and council tax reduction disregards the income of a pensioner receiving the guarantee credit (Council Tax Reduction Schemes (Prescribed Requirements) (England) Regulations, 2012). In 2039-40 the share of the lower pension felt as lower income is 50% for (a), 80% for (b), none for (c) and 21% for (d).

The examples: (a) single pensioner aged 70, State Pension only, owns their home; (b) single pensioner aged 70 with a £15,000 private pension, owns their home; (c) single pensioner aged 70, State Pension only, rents from the council at £120 a week; (d) single pensioner aged 90 on the old basic State Pension, rents from the council at £120 a week.

Table 7: Example pensioners on the typical path in the final year: the change under the Burnham plan, £ a year (income tax: the change in tax paid, so a fall adds to income). The last row is the change in income after tax and benefits as a share of the change in State Pension.

	(a)	(b)	(c)	(d)
State Pension	−£867	−£867	−£867	−£664
Income tax paid	−£173	−£173	−£173	£0
Pension Credit	£113	£0	£113	£523
Housing Benefit	£0	£0	£475	£0
Council tax reduction	£146	£0	£146	£0
Winter Fuel Payment	£0	£0	£0	£0
Income after tax and benefits	−£434	−£694	£41	−£141
Share of the lower pension felt in income	50%	80%	none	21%

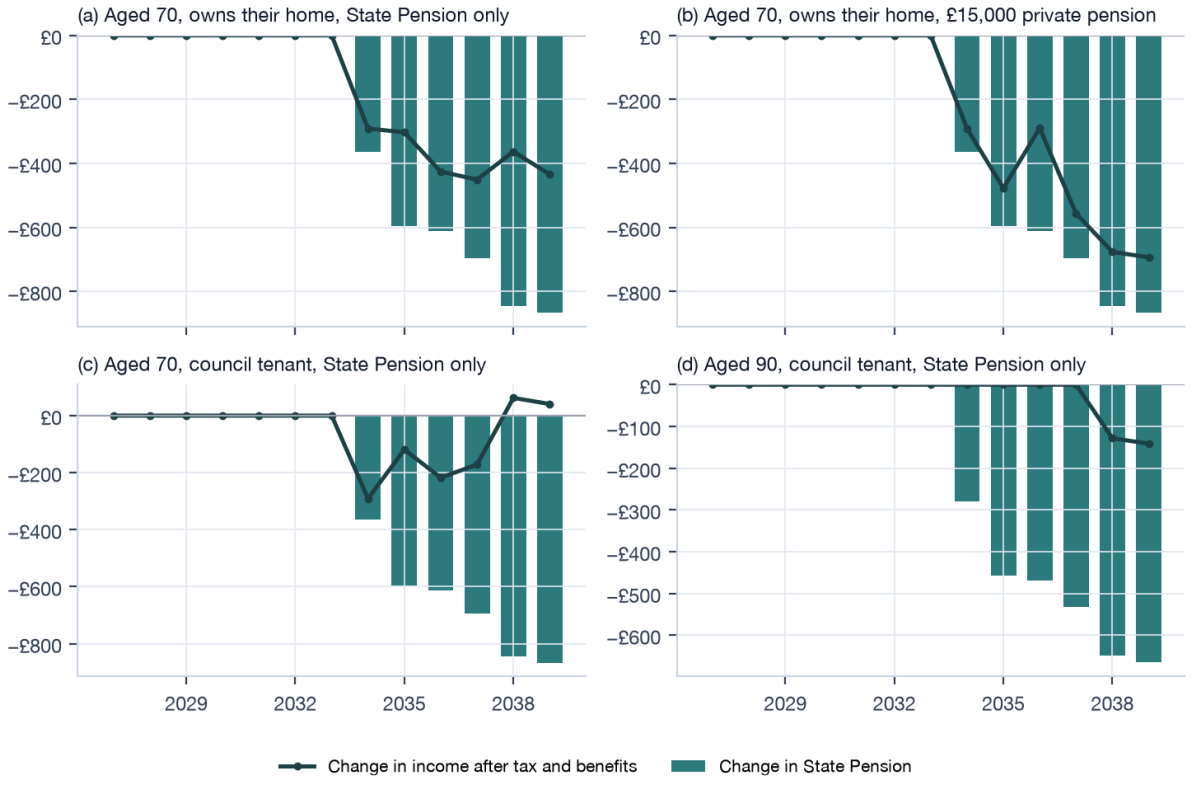


Figure 8: The example pensioners on the typical path: the change in State Pension under the Burnham plan (bars) and in income after tax and benefits (line), £ a year, each fiscal year.

6 Method

6.1 Model and data

Every fiscal and household figure is a full run of PolicyEngine UK (PolicyEngine, 2026a,b) on the whole survey population, once under each rule; nothing is scaled from another run. All runs use one release: policyengine 6.2.6, which pins policyengine-uk 2.125.1 and policyengine-core 3.33.0 and is published with the Enhanced Family Resources Survey for 2024-25, release 1.58.0 (52,846 households). A path's CPI and earnings growth replace the model's economic assumptions before the data load, so benefit rates, tax thresholds and earnings follow it, and every run checks that they do. Only the basic and new State Pension differ between the two runs of a path. Under both rules the additional State Pension rises with September CPI, the Pension Credit guarantee with May–July earnings, and State Pension age follows the law's timetable. Money is in cash terms, for the UK. The results were built at revision 8838fd4 of PolicyEngine/uk-triple-lock and read from its `data/results.json`; the file holds no survey record's identifier, weight or amount.

6.2 Paths of prices and earnings

The paths come from a model of monthly changes in the CPI index (Office for National Statistics, 2026d) and in average weekly earnings (Office for National Statistics, 2026a), fitted to data from 2000 to the latest published month, with the furlough months of 2020–21 left out. Each simulated month draws a pair of past shocks together, so prices and earnings keep their joint variation. From the simulated months come both the statutory inputs (September CPI, May–July earnings growth) and the calendar-year growth the rest of the model uses. Every path is then shifted by the same smooth drift so that the average matches the OBR's forecast in every year, while each path keeps its own ups and downs.

6.3 Averaging over the paths

The model makes 50,000 paths, and the rules give each path's gap in the full new State Pension before any model run. Paths on which the two rules pay the same every year save nothing. The rest are split into 11 equal groups by that gap, and 160 paths drawn across the groups, more where the gap varies most (Neyman, 1934), are run in full. The expected saving weights each group's average by its share of the paths, and its standard error comes from the spread within groups.

6.4 The population in each year

The survey is a sample of households in 2024-25. Each record stands for a person of its age in every year. After 2025, the year the data release calibrates to, household weights are reweighted so that each age and sex group grows as in the ONS's 2024-based population projection (Office for National Statistics, 2026e). Survey ages are top-coded at 80; records at the top code are spread across ages up to 105 in line with ONS single-year shares. Each person's State Pension type follows from their date of birth: those who reached State Pension age before 6 April 2016 are on the basic State Pension, later cohorts on the new one (Pensions Act, 2014). Deaths, migration and contribution histories are not simulated.

6.5 Testing the model on past forecasts

An expected saving needs a model whose paths behave like the real inputs. Before scoring any model we committed a test on past OBR forecasts (Office for Budget Responsibility, 2026c): fitted only on data available before each forecast, does the model's central 80% band contain what then happened, in the gap between earnings and CPI each year and in the gap the two rules open after four rises? April 2022 is scored as the law applied it, with the earnings leg suspended. A first version of the test, which scored April 2022 on the published earnings, failed every model because of the furlough effect on 2021 pay; we changed it after seeing those scores and report both. In a dry run on today's data the model passes: the outcome fell inside its range in four of six final years and 80% of annual checks (Table 10 in the appendix). The binding test runs on the inputs available after the 28 October 2026 Budget. If the model passes, the expected saving stands; if not, the update removes it and keeps the single scenarios.

7 Limitations

The OBR's long-term path. After 2030 the central path follows the OBR's long-term projection, which the OBR describes as not a forecast.

One model of prices and earnings. The expected saving and its spread rest on one model of monthly CPI and earnings, tested on past OBR forecasts; they are conditional on that model.

April 2027 uprating. In every run April 2027's benefit uprating uses the model's 2026 CPI forecast (2.3%); September 2026 CPI is published on 21 October 2026.

Population reweighted, not aged. Later pensioners' amounts come from today's records of the same age; deaths, migration and pensioners abroad are not modelled, and ages above the top code are assigned.

Weights slightly low. Household weights sit 0.44% below their calibrated levels in every year (policyengine-uk-data #538).

Benefits for existing claimants only. Housing Benefit and council tax reduction respond only for households already receiving them, so nobody the plan makes newly entitled starts claiming; the net saving is slightly overstated.

Rents and other income. Rents and council tax stay at their 2030 amounts after 2030, and dividend, property, savings and self-employment income do not follow the path.

No behavioural response. Nobody changes how much they work, save or claim because of the plan.

Scottish winter payment. policyengine-uk pays Scotland's Pension Age Winter Heating Payment at a flat household rate rather than the rates in the regulations (policyengine-uk #2138), and has no age addition at 80 (policyengine-uk #2139).

8 Conclusion

The Burnham plan keeps the triple lock's protection against prices and its 2.5% floor, but not its carry-forward of years in which prices or the floor beat earnings. Its saving therefore depends on how often the lead passes between prices and earnings, not only on their expected growth. On the OBR's smooth central forecast the plan saves £0.9bn in 2039-40; averaged over the model's

paths it saves £11.1bn in State Pension spending and £7.9bn after tax and benefits respond, with a wide spread between paths.

About 27% of households, nearly all with a pensioner, have less income than under the triple lock, with Pension Credit and income tax making up part of the difference; on the typical path pensioner poverty after housing costs rises by 0.8 percentage points or less. The wider lesson applies to any uprating rule that takes the highest of several indices: its cost depends on how the indices vary, and costing it on a single central path can understate it. These figures are provisional until the binding test on the 28 October 2026 Budget forecast.

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A Further results

Table 8: The expected saving in the final year with the paths reweighted to past variation in prices and earnings, £ billion (± 1.96 SE), from the same full runs. Effective runs: how many of the full runs the reweighting leaves in use.

Paths matched to	Gross	Net	Effective runs
Paths as they are (used here)	11.1 ± 0.1	7.9 ± 0.1	160
2001-2025, 2020-21 left out	7.1 ± 1.8	5.0 ± 1.3	61
2001-2025, 2020-21 left out	5.6 ± 2.0	4.0 ± 1.4	43
2001-2025, 2022 as in law	7.1 ± 1.7	5.0 ± 1.2	67
2001-2025, 2022 as in law	6.3 ± 1.9	4.5 ± 1.4	52
2001-2025, 2022 as published	9.8 ± 1.2	6.9 ± 0.8	115
2001-2025, 2022 as published	9.0 ± 1.5	6.3 ± 1.1	83
2010-2025, 2020-21 left out	9.1 ± 1.0	6.4 ± 0.7	118
2010-2025, 2020-21 left out	8.5 ± 1.4	6.0 ± 1.0	90
2010-2025, 2022 as in law	8.4 ± 1.1	6.0 ± 0.8	111
2010-2025, 2022 as in law	8.3 ± 1.2	5.9 ± 0.9	104
2010-2025, 2022 as published	12.4 ± 0.9	8.8 ± 0.7	141
2010-2025, 2022 as published	12.4 ± 1.1	8.7 ± 0.8	140

Table 9: The survey data against DWP's Spring Forecast 2026, Great Britain, matched where DWP's tables separate payments abroad.

2026-27	DWP forecast	Enhanced FRS, Great Britain
State Pension spending (in GB, excluding payments abroad), £bn	£148.3bn	£125.9bn
Basic and new State Pension, £bn (DWP's figure includes payments abroad)	£131.0bn	£112.1bn
State Pension recipients (in GB), millions	12.15m	11.16m
Pension Credit, £bn	£6.1bn	£7.1bn
Pension Credit claims (benefit units), millions	1.31m	1.48m
Housing Benefit (not Universal Credit housing), £bn	£12.5bn	£8.2bn
Housing Benefit, pension age, £bn	£7.3bn	£7.5bn
Housing Benefit claims, pension age (benefit units), millions	1.08m	1.11m

The survey data are compared with DWP's benefit expenditure and caseload tables (Department for Work and Pensions, 2026a) in Table 9.

Table 10: The test on past forecasts, dry run on today's inputs: share of outcomes inside each model's central 80% band, by test and model, with April 2022 scored as in law (which decides the verdict) and as published (for reference).

Test	Model	April 2022	Verdict	Annual checks inside	Final years inside
Six forecasts, 2016–21	Monthly model (used here)	As in law	Pass	80%	4 of 6
Six forecasts, 2016–21	Monthly model (used here)	As published	Reference	67%	1 of 6
Six forecasts, 2016–21	Monthly model, two lags	As in law	Pass	65%	4 of 6
Six forecasts, 2016–21	Monthly model, two lags	As published	Reference	54%	1 of 6
Six forecasts, 2016–21	Annual model	As in law	Fail	80%	4 of 6
Six forecasts, 2016–21	Annual model	As published	Reference	67%	1 of 6
Six forecasts, 2016–21	Monthly model, heavy-tailed shocks	As in law	Pass	60%	4 of 6
Six forecasts, 2016–21	Monthly model, heavy-tailed shocks	As published	Reference	50%	1 of 6
Six forecasts, 2016–21	Monthly model, normal shocks	As in law	Pass	80%	4 of 6
Six forecasts, 2016–21	Monthly model, normal shocks	As published	Reference	67%	1 of 6
Twelve forecasts, 2010–21	Monthly model (used here)	As in law	Pass	89%	10 of 12
Twelve forecasts, 2010–21	Monthly model (used here)	As published	Reference	81%	7 of 12
Twelve forecasts, 2010–21	Monthly model, two lags	As in law	Pass	73%	10 of 12
Twelve forecasts, 2010–21	Monthly model, two lags	As published	Reference	67%	7 of 12
Twelve forecasts, 2010–21	Annual model	As in law	Fail	84%	10 of 12
Twelve forecasts, 2010–21	Annual model	As published	Reference	77%	7 of 12
Twelve forecasts, 2010–21	Monthly model, heavy-tailed shocks	As in law	Pass	70%	10 of 12
Twelve forecasts, 2010–21	Monthly model, heavy-tailed shocks	As published	Reference	65%	7 of 12
Twelve forecasts, 2010–21	Monthly model, normal shocks	As in law	Pass	89%	10 of 12
Twelve forecasts, 2010–21	Monthly model, normal shocks	As published	Reference	81%	7 of 12